Familias en Acción - CCT in Colombia

Policy Brief - Pablo Herrera - Social Transfers

1. Historical context

In the early 90s, a constitutional reform was made in Colombia. This redefined the country as a Social Rule of Law State. The Colombian government thus had to assume a strong compromise with the socioeconomic wellbeing of its citizens. Less than a decade later, the increase in public spending led the country to a complex fiscal situation (Urrutia and Llano, 2012, as cited in Urrutia and Robles, 2018).

This scenario, combined with the Asian financial crisis and a domestic mortgage crisis, let to a historic and acute economic crisis (Llano, 2014, as cited in Urrutia and Robles, 2018).

2. Justification

The government began to evaluate measures to confront the crisis, and seeking to reduce the negative impact on the most vulnerable population, they received good references on the functioning of the CCT Progresa in Mexico (Cárdenas, 2018, as cited in Urrutia and Robles, 2018).

The Colombian government implemented thus Familias en Acción, a countercyclical policy in the midst of a recession. The program was designed to encourage poor families to keep their children in school and to ensure that their health and nutrition were not compromised. This was done through conditional cash transfers (DNP-Acción Social, 2010, as cited in Urrutia and Robles, 2018). In a short period of time, Familias en Acción became one of the best evaluated programs and also one of the programs with the highest public expenditure (Urrutia and Robles, 2018).

Before going any further, it should to be mentioned that since the beginning of 2024, the program has been part of a transition to a new program named Renta Ciudadana [Citizen Income] which aims to armonize the existing conditional and unconditional transfers in the country. This new program has four components, and one of them is about capacity building. This component will cover the objectives of the former Familias en Acción. However, this new Citizen Income program won't be covered in this policy brief, and the focus will remain on Familias en Acción (Law 2294, 2023).

3. Targeting

Originally, the program was limited to small sized municipalities (with a population of less than 100,000 inhabitants). Families also had to be vulnerable according to the the instrument "Identification System for Potential Beneficiaries of Social Programs" (SISBEN) (Urrutia and Robles, 2018). This targeting instrument stratifies the population according to their income and other material conditions (Departamento Nacional de Planeación).

Nevertheless, given the positive results, the program was expanded from its initial rural focus to one that also included large urban centres. The most recent law related to this cash transfer, defined as beneficiaries all families living in poverty or extreme poverty, with a special place for families who are victims of forced displacement, as well as those of indigenous and African origin (Law 1948, 2019).

4. Conditionality

Familias en Acción requires the fulfilment of two conditions, a health component and an education component. The health condition implies that all children under the age of 7 must attend medical consultations to monitor

their growth and development.

On the other hand, the education conditions imply that children and adolescents between 5 and 18 years old must be enrolled in the course that corresponds to their age, as well as that they comply with an established percentage of class attendance (80%) (Medellín and Sánchez, 2015).

5. Transfer size

The program delivers a subsidy every two months and the amount each household receives, depends on several factors, starting with compliance with health and education conditions (for detailed information, see Table 1 in Appendix).

On the one hand, there is a fixed amount per household, which is given if the household meets the health condition.

On the other hand, the household can receive another payment associated to meeting the educational requirement. This benefit is paid for each student between 5 and 18 years old in the household. Each family can have a maximum of three beneficiary students. If a household has four or more students, it receives only three payments from the education component.

The vulnerability level of the municipality where the household is located, also plays a role in determining the amount received (the greater the vulnerability, the greater the amount received from each component). To define the vulnerability of a municipality, the level of urbanization and the incidence of multidimensional poverty are considered.

Finally, there are households that can receive the highest amount, regardless of their municipality (they receive the same amount as households with the highest level of vulnerability). This occurs if the household belongs to an indigenous community or to the registry of victims of forced displacement (Medellín and Sánchez, 2015).

6. Coverage

According to information from Prosperidad Social [Social Prosperity] from the colombian government, in 2019 Familias en Acción covered 2,3 millions households (Prosperidad Social, 2019), which represents a 16% of the households in the country (Departamento Administrativo Nacional de Estadística, 2018).

Considering that the national level of poverty rate was 36,5% in 2019 (Departamento Administrativo Nacional de Estadística, 2024), more than 40% of the target population is reached by Familias en Acción.

7. Inclusive design

When it comes to the inclusive design of the transfer, some elements related to the definition of the amount that each family receives can be highlighted. A first example is the allocation of higher amounts in the most vulnerable municipalities. Additionally, households that belong to an indigenous community or that are victims of forced displacement receive high amounts (see section 5. Transfer size).

On the other hand, apart from the amount, there are some rules that denote inclusivity in the design of the subsidy. Although there is a maximum limit of three beneficiary children for compliance with the educational component, this rule is relaxed if the household has a member under 18 with a disability. Finally, it is worth mentioning that the program privileges the mother of the family as the recipient of the transfer (Medellín and Sánchez, 2015).

8. Graduation components

Originally, the program was temporary and focused on small and rural municipalities. Nevertheless, since 2007, with the expansion of the program nationwide, it also became permanent (Law 1532, 2012, as cited in Medellín and Sánchez, 2015).

However, the program has clearly defined some reasons that can lead to leaving the program.

On the one hand, households can be temporarily excluded while waiting for their situation to regularize if there are changes in family composition, failure to comply with health or education conditions, or it is proven that false information was provided.

On the other hand, if there are improvements in the socioeconomic condition, there can be two scenarios. In the case of a considerable increase in the family score, they immediately leave the program, while if the household exceeds the score but not so widely, they enter a two-year transition period to prepare for the household to leave (Medellín and Sánchez, 2015).

9. Successful aspects

The magnitude of this program makes it quite interesting and successful under several criteria. One aspect that is worth highlighting is the operational one. This is a transfer that was sustained for more than 20 years and that thanks to its good reception went from being a limited subsidy program to a permanent one with wide national coverage (see section 3. Targeting).

Over the years, the program experienced a constant improvement in terms of the integration of information systems such as the aforementioned SISBEN (to identify those most vulnerable families as potential beneficiares), as well as other systems not mentioned in this document. Among them, it is worth highlighting the transition of different systems to monitor compliance with household conditions (such as SIRC and SIFA).

Finally, the coordination capacity achieved between the Familias en Acción team and other public bodies involved, such as the municipalities, the Ministry of Health and Social Protection and the Ministry of National Education, cannot be overlooked (Medellín and Sánchez, 2015).

10. Challenges

In terms of the challenges, the amount of a transfer can always be of interest. Considering values from 2015 (Table 1 in Appendix), the highest amount that a single beneficiary could have received from the educational component would have been 23 USD every two months, quite low compared to the individual monthly poverty line for that year, which was 90 USD (Departamento Nacional de Planeación, 2017).

Additionally, in terms of the impact of the subsidy in other areas, the results are not very strong. In the case of labour force participation, the effects tend to be marginal or non-existent. Barrientos and Villa (2013) only identify interesting effects for a few and particular sets of households. Those with children younger than 7 years old and with single adults tend to show positive effects on labor activity rates. Another study from 2012, showed that the education performance was deteriorated since there has not been a proper investment on the supply side. These results suggest that the implementation of CCT should go togheter with the supply of the relevant public services as education or health in the case of Familias en Acción (Benson, 2012).

11. Reflections on best practices.

One last interesting feature of this conditional cash transfer is the way how it managed to be expanded to a national level without losing the spirit of providing greater assistance to the most vulnerable groups.

Regarding its coverage, it has to be mentioned that the program managed to cover almost 50% of its target population at a national level, i.e. households in poverty (see section 6. Coverage).

Nevertheless, Familias en Acción does this not only by providing higher transfers to households in the more vulnerable municipalities according to monetary criteria.

This is also achieved through strengthening support for other vulnerable groups, like the less urbanized areas, the disabled population, the families with indigenous or African origin and those families victims of forced displacement. These actions demonstrate an important and consistent commitment to inclusion on the part of the Colombian state.

Appendix

Table 1. Values of bi-monthly transfer for the health component and each education level component. Amounts according to municipal group, year 2015. Values in USD from year 2015.

Municipal group	Health	Ed. Level 1	Ed. Lev. 2	Ed. Lev. 3	Ed. Lev. 4	Ed. Lev. 5
1	25,6	0,0	0,0	10,7	12,8	19,2
2	25,6	8,5	4,3	10,7	12,8	19,2
3	25,6	8,5	6,4	12,8	14,9	21,3
4	29,8	8,5	6,4	14,9	17,0	23,4

Source: prepared by the author using data from Medellín and Sánchez (2015).

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